



Quality Control Policy

Flagstar Bank (the "Bank"), has established a quality control program to audit the origination and servicing of FHA, FNMA, FHLMC, VA, FHLB, USDA as well as all other types of mortgages. The program is designed to: assure all mortgages are originated and serviced in accordance with regulations, agency, insurer, guarantor and investor guidelines and sound mortgage banking and accounting principles; guard against dishonest, misrepresented or negligent acts; guard against errors, omissions and misrepresentations by officers, employees, or other authorized persons; protect investors from unacceptable risk and assure swift and appropriate corrective action. The quality control program also ensures that the Bank complies with all applicable local, state, or federal laws (Ex: Fair Housing, Equal Credit Opportunity and TILA - RESPA Integrated Disclosures)

The Quality Control program is used to evaluate and monitor the overall quality of mortgage production through pre-funding and post-closing reviews. The primary purpose of the program is to verify the accuracy and integrity of closing documents, credit documentation, collateral documentation and underwriting decisions. It assures that mortgages conform to current company policies and procedures, comply with secondary market investor requirements and that the mortgages meet specific governmental and private mortgage insurance company requirements.

Quality Control conducts audits on a regular basis of both in-process and funded loans. A sample of in-process loans are selected each business day for audit while a sample of funded loans are selected on a monthly basis for review. The Quality Control department will determine the representative number of loans to be reviewed based on established Bank requirements, current active pipeline reports and closed loan reports for the period being reviewed.

When determining the sample, loans from all origination sources, loan programs and products are considered for review. The sample selection will be random, targeted and discretionary and will include:

- Different mortgage types
- Program types
- Property types
- Appraisers
- Real estate companies
- Builders
- Processors
- Closing personnel
- Loan officers
- Automated underwriting
- Loan-to-value ("LTV") categories
- 2 to 4-Unit properties
- Underwriters
- Brokers/Correspondents

The Quality Control program provides monthly feedback to members of Senior Management and the Board of Directors about its loan origination, underwriting and servicing practices. This feedback is used to adjust and improve the origination, underwriting and servicing of all of its mortgage programs. Any report of findings presented to Senior Management will be made available to any investor or auditor upon request.

In addition to the Quality Control reviews, Flagstar Bank has other independent departments that review all files after loan closing. If you are notified by either the Post Closing Department or the Shipping Department of any errors and omissions, remit all necessary documentation with any written notification you received from Flagstar Bank and return to the attention of the person who contacted you.

Mail to:
Flagstar Bank
5151 Corporate Drive
Troy, Mi. 48098
Attention: (contact person's name)
(Include mail stop number)

Quality Control audits may include a review of the following:

CLOSING DOCUMENTS

- Notes and Riders
- Mortgage insurance or guaranty certificate
- Mortgage or deed of trust and all applicable riders
- Assignment of mortgage
- Title commitment/policy
- Survey
- Truth-In-Lending Disclosures (non TRID loans)
- HUD-1 Settlement Statement (non TRID loans)
- *Right of Rescission*, [Doc. #4622](#) if applicable
- Hazard insurance policy or certificate of insurance.
- Certain state and federal laws for other requirements such as the Flood Act.
- Conformity of numbers, costs, definitions and disclosures between closing forms and application data.
- All closing documents for all signatures, witnesses, and notary publics.
- Loan Estimate Closing Disclosure
- Intent to Proceed

ORIGINATION DOCUMENTS

- | | |
|----------------------------------|-------------------------------|
| • Applications | • Required Disclosures |
| • Paystubs/Income documentation. | • Supporting Documentation |
| • Credit Reports | • HUD LDP Lists |
| • Assets | • Automated Underwriting Data |
| • Appraisal | • Mortgage Delivery Data |
| • Purchase Agreement | |

REVERIFICATIONS

Written and verbal reverifications are completed on various documents when deemed appropriate based on the review of the information in the file. The verification is compared to the original information in the file and any discrepancies are noted. Verifications may be obtained on the following:

- Employment and Income
- Social Security Number
- Assets
- Mortgage/Rent
- Credit Reports/Non-Traditional Credit
- Occupancy
- Condo Project Eligibility
- Appraisals

- Review appraisals performed by a qualified appraiser independent of the original appraiser on:
 - 10% of FHA loans selected for an investor required review
 - Desk review for all other investors on the Post closing selected loans
- At minimum the review appraisal will consist of:
 - Exterior review of the subject property and the comparables
 - Review of the factual data on the appraisal report for accuracy.
 - Validity of comparables/comparable adjustments pricing from one property to another
 - Overall quality and attention to detail and attention to general neighborhood remarks.
 - Satisfaction of pictures offered.